

market factors, but has less exposure to the other factors. Some of the trend-following reversal returns is not explained by the known factors and generates significant alphas. This is particularly true for the contrarian loser strategy, as it has the lowest correlation with the market and also with trend-following factors. Owing to its relatively low co-movement with the existing factors, it might be particularly useful for investors who wish to avoid momentum risks²⁵ and still obtain persistent high returns.

6. Concluding Remarks

This paper studies the time horizon and magnitude of time series reversal as well as its relationship with time series continuation in an asset pool consisting of various global commodity and financial futures across a time horizon of 30 years. By performing multiple trend-following strategies, we observe a pervasive but not statistically significant reversal between 12 and 24 months after the trend-following signals are generated. The time series reversal period is much shorter than that of conventional cross-sectional reversal recorded in the literature.

We show that the time series reversal effect varies across different subgroups when we decompose the trend-following portfolio into four sub-portfolios, namely realised winners, realised losers, contrarian winners, and contrarian losers. Our results show that time series momentum and reversal are not linked. Our results are consistent with a small but growing body of literature suggesting that momentum and reversal are separate phenomena, see, e.g., [Cooper et al. \(2004\)](#), [Conrad and Yavuz \(2017\)](#), and [Li and Galvani \(2018\)](#). They contradict the conventional behavioral theories such as [Barberis et al. \(1998\)](#), [Daniel et al. \(1998\)](#) and [Hong and Stein \(1999\)](#) which focus on explaining the linkage between momentum and reversal.

Our findings also suggest that the loser components of the trend-following strategies (whether realised or not) generate significant post trend-following reversal. The sub-portfolio with instruments which are past losers and later generate positive returns, the contrarian loser subgroup, contributes the most to time series reversal.

²⁵See, e.g., [Barroso and Santa-Clara \(2015\)](#) and [Daniel and Moskowitz \(2016\)](#).